Cholamandalam Investment & Finance Company Ltd

CHOLAFIN

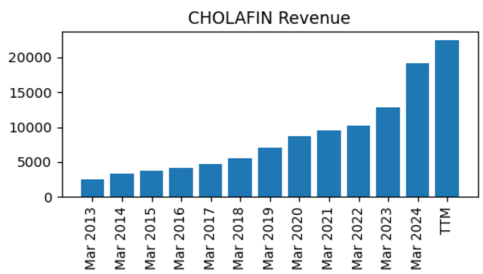
Key Financial Metrics

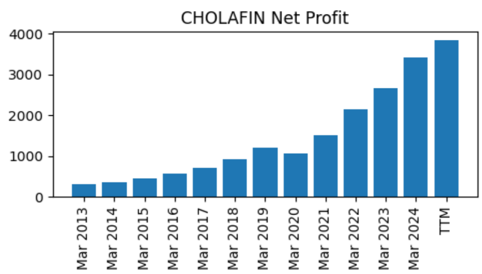
ROE 17.99%	**ROCE** 3.60%	**Debt / Equity** 7.38
Revenue CAGR 20.04%	**FCF Conversion** -1,043.36%	**Quality Score** 27.79

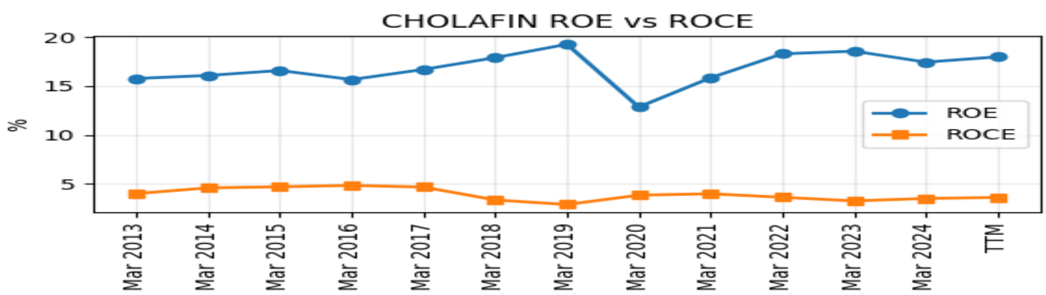
Company Profile

Company	Cholamandalam Investment & Finance Company Ltd
Sector	Financials
Industry	Consumer Finance
Market Cap (■ Cr)	971,931.96
P/E Ratio	16.79
P/B Ratio	10.36
Dividend Yield	2.83%

Financial Performance







AI Investment Summary

Cholamandalam Investment & Finance Company Ltd currently faces multiple financial challenges that increase investment risk. It currently has healthy profitability, average capital efficiency, rapid revenue growth, accrual risk cash-flow quality and elevated leverage. The overall financial quality score is 27.8/100. Key strengths include: Profits are compounding faster than revenue, indicating improving operating leverage and scalability.; Revenue growing at above 15% CAGR over 5 years reflects strong business momentum.; Operating profit margin above 25% indicates strong pricing power and cost discipline.. Key risks include: High leverage relative to equity can restrict future capital flexibility.; Return on capital employed below 10% indicates weak capital efficiency.; Two consecutive years of negative free cash flow point to weak cash generation.. Investment recommendation: Avoid. Overall, the company appears to be financially weak with elevated investment risk.

Pros & Cons

Pros	Cons
• Profits are compounding faster than revenue, indicating improving operating leverage and scalability. • Revenue growing at above 15% CAGR over 5 years reflects strong business momentum. • Operating profit margin above 25% indicates strong pricing power and cost discipline. • Net profit compounding at above 20% over 5 years creates significant shareholder value. • Very high interest coverage ratio reflects negligible financial stress from debt servicing.	• High leverage relative to equity can restrict future capital flexibility. • Return on capital employed below 10% indicates weak capital efficiency. • Two consecutive years of negative free cash flow point to weak cash generation. • Debt-to-equity ratio has increased continuously for three years, indicating rising financial leverage.

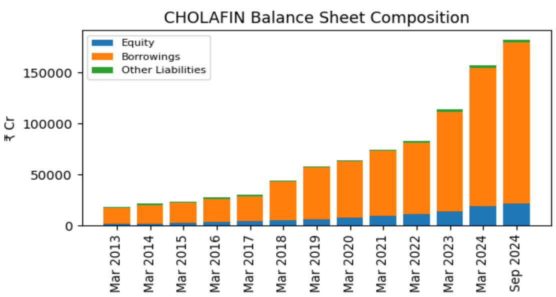
Investment Recommendation

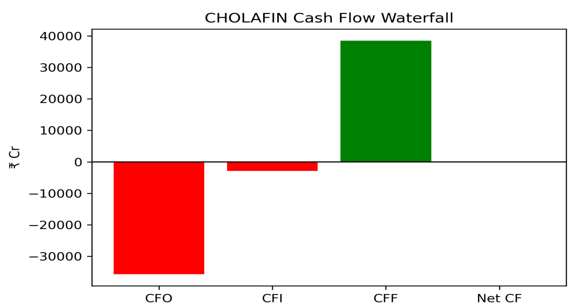
Recommendation	**AVOID**
Risk Level	VERY HIGH
Confidence	LOW

Recommendation Reason:
The recommendation is based on an adjusted financial score of 29.8/100, supported by 5 identified strengths, 4 identified risks, and cash-flow quality rated as Accrual Risk.

Adjusted Score: 29.8

Balance Sheet & Cash Flow





Financial Health

Profitability	Moderate
Growth	Strong
Cash Flow	Weak
Leverage	Weak
Valuation	Cheap

Capital Allocation

Growth Funded by Debt